

About the same time, the stock markets start declining as well. We go from having a flat year for stocks to seeing losses of nearly 30% in the global index, and this is while our strategy is gaining handsomely. What looked like a boring, perhaps even failed, year quickly turned into a great success. Even though little profits were given up before the year was up, we still had a great first year.

In this part of finance, success can come quickly and unexpectedly, but remember, so can failure. Starting this adventure in 2002 would have been lucky indeed. Yes, luck is very much a factor in long-term success. Any trading strategy, no matter how brilliant, will have good years and bad years, and you won't know when they will arrive. If your first year happens to be a bad one, odds are that you won't continue or that your investors will pull their money, even if the strategy is absolutely fine.

To find out what really happened in the second part of the year, a good start would be to look at the sector attribution. Figure 6.3 shows this attribution over time and how each sector impacted the bottom line results this year. Looking at the July to August period, when the strategy returns took off for the upside, we see that three sectors were responsible for the effect. We see that currencies, equities, and rates all helped at almost the same time.

Going one step further, we can compare the longs versus the shorts in Figures 6.4 and 6.5. From the long side, we can see that the number one contributor was the rates sector, adding about 20% to our bottom line all by itself. On the short side, we see an overwhelming effect from a different sector, and given that this is during the post dot.com bear

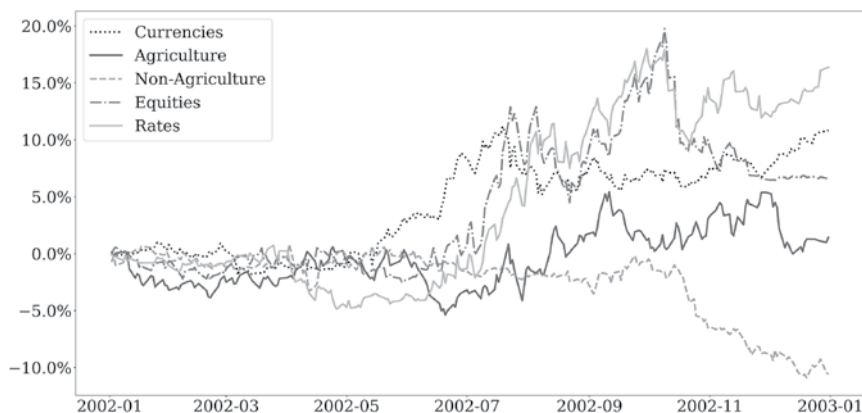


FIGURE 6.3 Sector performance 2002.